Nairobi Securities Exchange

Investor Briefing For The Financial Year Ended 31st December 2014

27th March 2015

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exchange
Discover Opportunity

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I. The Economic Environment

I. The Economic Environment

Indicator	2014	2015 Forecast	Remarks
Nominal GDP	KES 5.643 Trillion ($ 62.7 Billion)	KES 6.3 Trillion ($ 70.0 Billion	Positive Outlook for the economy in 2015
Change in Real GDP	5.2%	5.6%	Growing economy
Inflation (end of year)	6.2%	6.3%	Central Bank expected to maintain its current policy; Oil price stability;
Gross Investment/GDP	19.6	20.7	Driven by increased investment in infrastructure
Gross Domestic Savings/GDP	11.6	12.6	Kenyans adopting a savings culture. Mobile money accounts playing a major role
Govt. Debt	KES 2.5 Trillion ($ 28.7 Billion)	KES 2.9 Trillion ($ 32 Billion)	Govt. continues to face fiscal deficits and will maintain its borrowing programme

I. The Economic Environment

Indicator	2014	2015 Forecast	Remarks
Govt. Debt/GDP	45.8	45.5	Growth rate of economy will outstrip growth rate in debt
External Debt/GDP	19.0	19.3	Debt remains sustainable. Success of Eurobond has increased appetite for cheap hard currency borrowing.
Exchange Rate	90.6	91.0	Weakening trend expected to continue due to low tea prices, weaker tourism flows and global monetary tightening
Policy Rate	8.5	8.0	MPC expected to lower benchmark rate, triggering decline in interest rates.

II. Market Performance

II. Market Performance

❑ Key Indicators

Parameter	Jan. 2 2014	Dec. 31 2014	% Change
NSE 20 Share Index	4911	5,113	4.11
NSE All Share Index	137	170	24.09
FTSE NSE 15 Equity Index	174	215	23.56
FTSE NSE 25 Equity Index	175	219	25.14
Equity Market Cap. (Kshs. Billion)	1,919	2,316	20.69
FTSE NSE Kenyan Shilling Government Bond Index	91	93	2.20
FULL YEAR PERIOD ENDING	**Dec 31 2013**	**Dec. 31 2014**	**% Change**
Equity Turnover (Kshs. Billion)	156	216	38.46
Bond Turnover (Kshs. Billion)	452	506	11.95

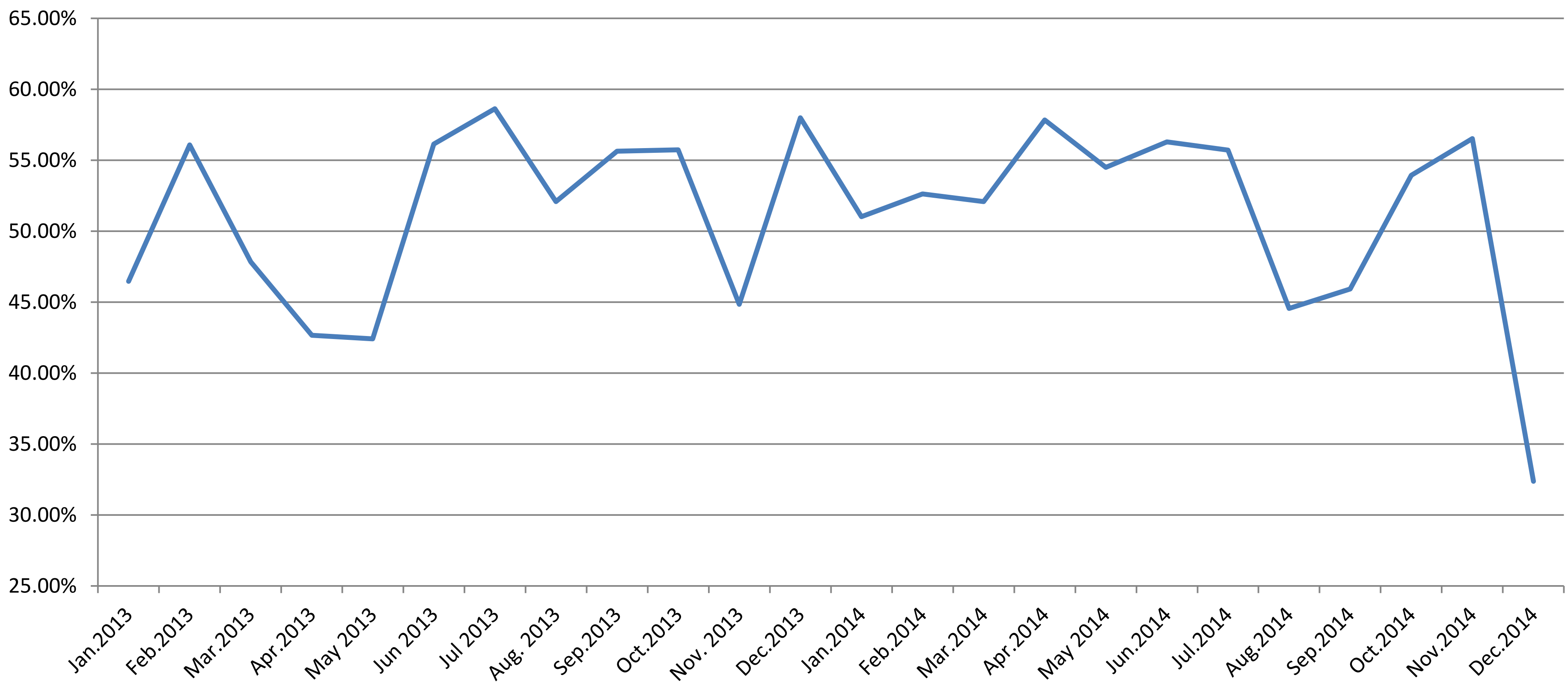
2014 Capital Raise Statistics

Capital Raise Type	Amount (KES Million)	Amount ($ Million)
IPO	627	6.87
Rights and Bonus Issues	6,096	66.80
Corporate Debt	30,580	335.04
Government Debt	81,848	896.86
TOTAL	119,151	1,305.57

II. Market Performance

- Foreign Investor Participation

  - 2014 average participation: 51.12%
  - 2013 average participation: 51.38%



II. Market Performance

African Stock Markets Performance

STOCK MARKET	1M	1Y	3Y	5Y
Botswana Stock Exchange	3.7%	-3.7%	2.4%	-7.9%
BRVM	2.2%	-12.2%	47.8%	56.2%
Dar es Salaam Stock Exchange	-2.3%	20.0%	78.2%	73.3%
Ghana Stock Exchange	-3.5%	-34.5%	3.1%	N/A
Johannesburg Stock Exchange	1.3%	10.5%	-1.8%	33.5%
Lusaka Stock Exchange	-6.1%	-1.9%	20.9%	61.5%
Malawi Stock Exchange	4.3%	9.9%	N/A	N/A
Nairobi Securities Exchange	6.3%	17.7%	121.3%	95.9%
Namibian Stock Exchange	1.6%	11.1%	12.1%	82.2%
Nigerian Stock Exchange	-5.6%	-38.0%	16.7%	-1.3%
Rwanda Stock Exchange	-0.3%	-9.4%	N/A	N/A
Stock Exchange of Mauritius	-3.0%	-12.3%	-1.2%	15.9%
Uganda Securities Exchange	3.0%	23.1%	92.8%	82.0%

III. Financial Highlights

IIII. Financial Highlights

❑ Income Statement

	31-Dec-14 Kshs Million	31-Dec-13 Kshs Million	Change
Operating income	642	489	31%
Interest income	39	21	86%
Other income	141	113	25%
Total income	**822**	**623**	**32%**
Administrative expenses	(390)	(334)	17%
Finance cost	(14)	(39)	-64%
Share of profit of associate company	24	14	71%
Net recovery on doubtful debts	-	116	-100%
Profit before taxation	**442**	**380**	**16%**
Taxation charge	(122)	(117)	
Profit for the year	**320**	**263**	**22%**
Earnings per share - Basic and diluted - Kshs.	2.13	2.04	4%

❑ Operating Income

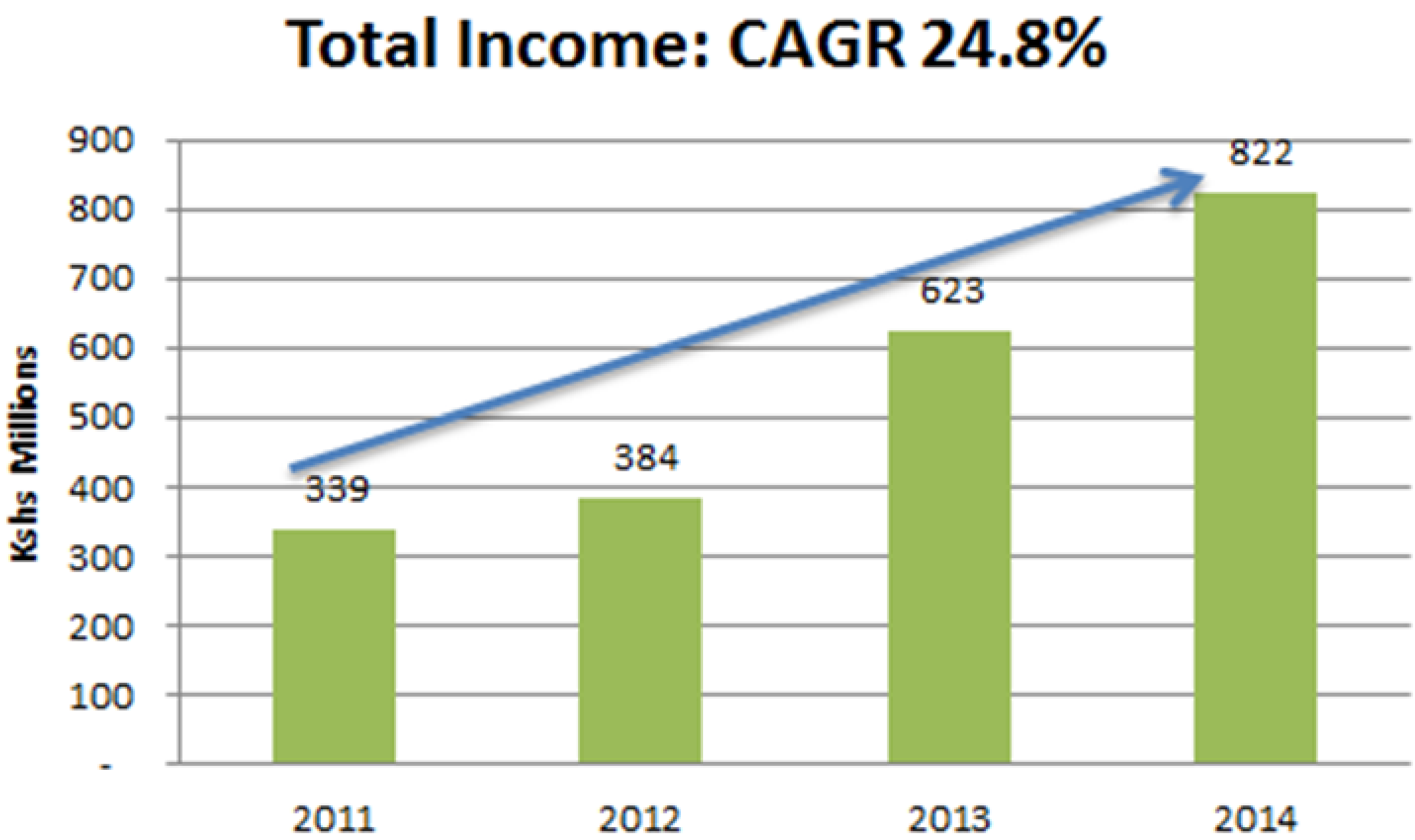
	31-Dec-2014	31-Dec-2013	Change
	Kshs (Million)	Kshs (Million)	%
Transaction Levy	553.1	405.8	36
Annual Listing Fees	78.2	73.7	6
Initial Listing Fees	8.2	8.6	(5)
Application and additional listing fees	2.0	0.6	2.3
TOTAL	641.5	488.7	

❑ Dividends and Assets

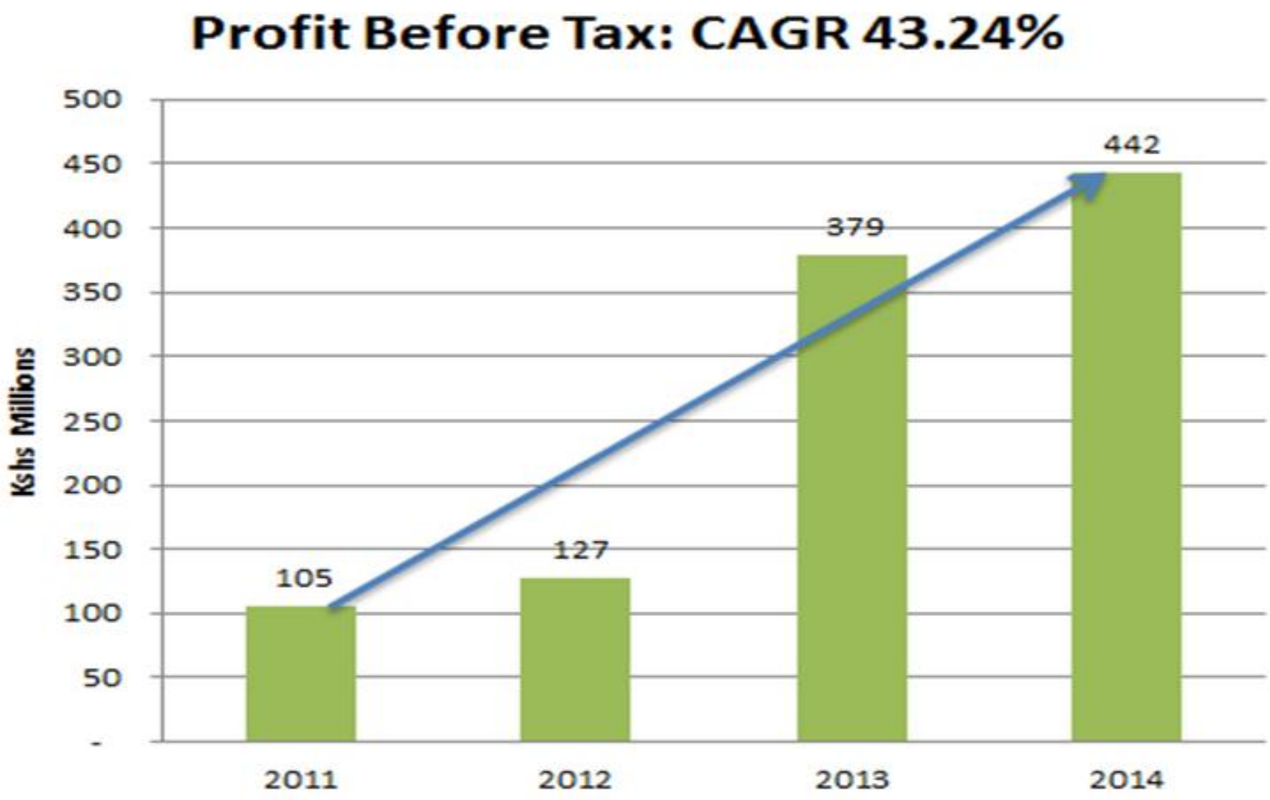
- The proposed dividends are subject to approval at the Annual General Meeting which will be held on Thursday June 25, 2015

	31-Dec-2014	31-Dec-2013	Change
Proposed Dividends	73, 957, 500	49,000,000	51%
Dividend Per Share (cents)	0.38	0.38	NIL
Shareholder Funds (Billions)	1.54	0.73	111%
Total Assets (Billions)	1.69	1.14	48%

- Growth in Total Income

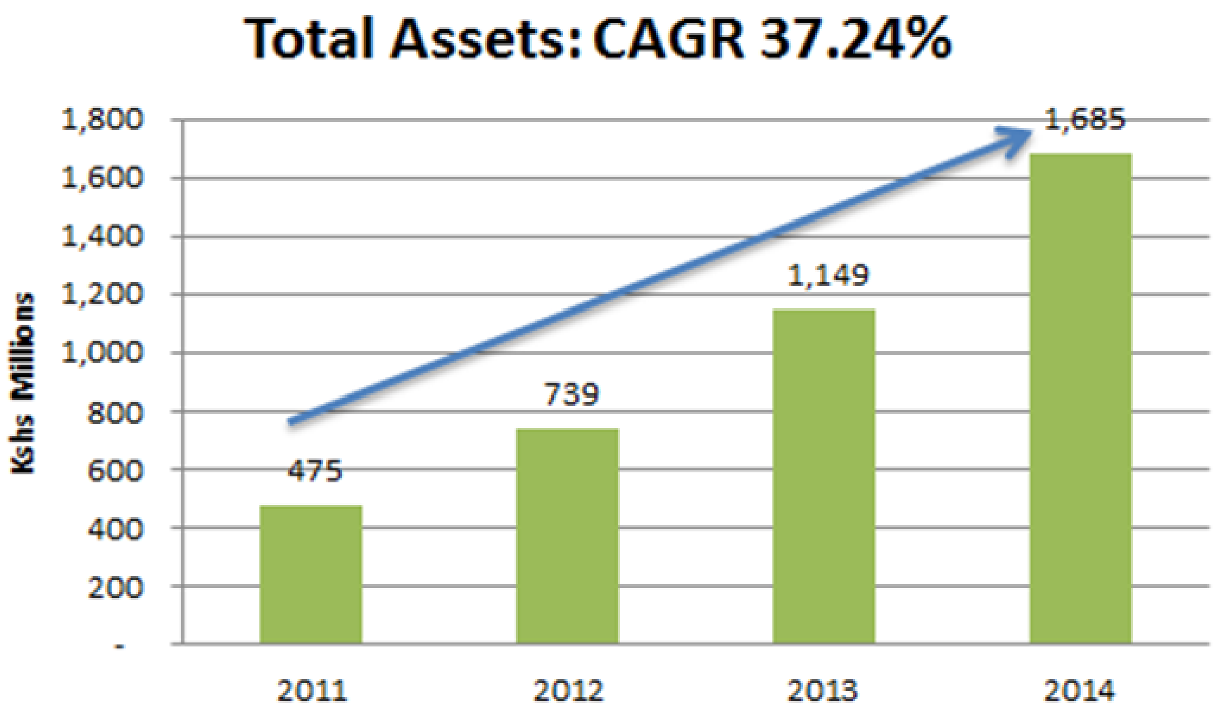


- Growth in Profit-Before-Tax

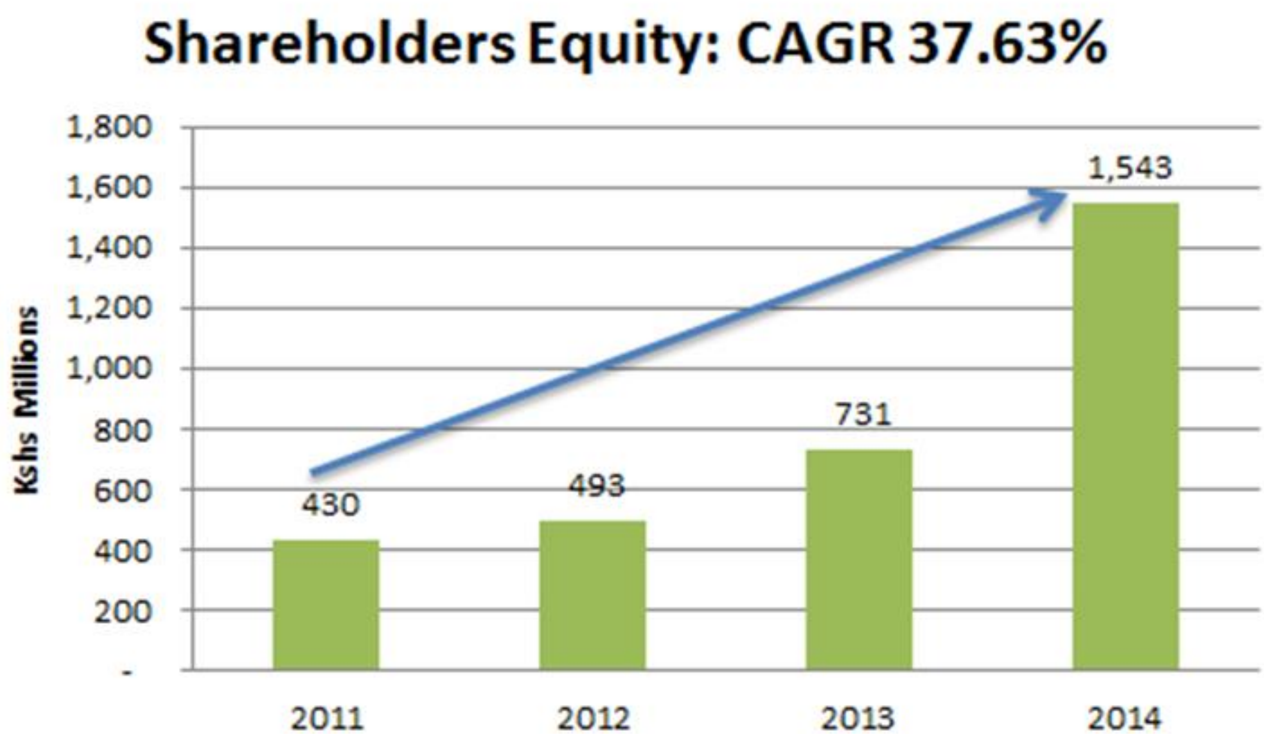


III. Financial Highlights

- Growth in Total Assets



- Growth in Shareholders Equity



IV. Strategy & Outlook

IV. Outlook & Strategy

- Economy

  - Investor interest in Kenya and the broader East African region remains strong.
  - Economic growth will continue to be driven by sustained expansion in:
    - consumer services (including financial services and telecommunications),
    - a thriving middle class with disposable income,
    - progressive urbanization,
    - structural reforms and
    - increasing investment in infrastructure.

- Economy

  - Challenges to our outlook can arise from:
    - Insecurity
    - Infrastructure bottlenecks
    - Reliability of rainfall

- Products
  - We expect further listings on the Main Investment Market Segment (MIMS) and the Growth Enterprise Market Segment (GEMS)
  - The Fixed Income Market will witness further Corporate and Government Debt issues
  - The upgrade of the Automated Trading System (ATS) will be done this year. This will allow the Exchange to better support its new product and service offerings.
  - New products to be listed will be Real Estate Investment Trusts (REITS), Exchange Traded Funds (ETFs) and Depository Receipts

IV. Outlook & Strategy

- ❑ Products

- The Exchange is on course to launch the derivatives market.
    - Our initial products will be single stock and index futures before offering currency-based contracts.
    - Market training has been ongoing
    - On the continent, only South Africa has set up a functioning derivatives mart
    - Our vision is to expand our contract offering into agriculture
    - This will have the effect of giving our farmers price certainty and will work to revive agricultural production
    - Agriculture currently constitutes 29.3% of GDP
    - Derivatives can play a critical role in making Kenya a self-sufficient nation

- Liquidity Enhancers
  - We are working closely with stakeholders on:
    - Securities Lending and Borrowing;
    - Day trading for equities and bonds;
    - Mobile and online trading (Direct Market Access);
    - Remote Membership

IV. Outlook & Strategy

- Sustainability

- NSE was admitted as the 18^{th} Partner Exchange to the SSE Initiative

- We intend to promote sustainable business practice in the Capital Markets

- Looking to enhance corporate transparency by working with our stakeholders to embrace Environmental, Social and Governance (ESG) reporting standards.


QUESTIONS
ANSWERS